10 CLASSIFICATION AND CHOICE OF TAXES

Net income is the most appropriate measure of an individual's ability to pay the taxes. Consequently, for the government it is the most appropriate basis for the allocation of taxes between different groups of society. However, the problem which is faced after selecting income as the basis for tax allocation, is that of determining the different rates of taxes for different levels of income. The tax rate must, indeed, observe the canons of taxation taking into account the income base. There is also the crucial problem of choosing between the different possible taxes.

Thus, while dealing with the problem of choice of taxes, it is not at all implied that government has the full authority to recast its whole tax structure. Every existing tax structure has been evolved over history and has led to a particular mould of the economy. Accordingly, both politically and economically, the tax structure can be changed only within limits. The discussion regarding the advantages and disadvantages of different kinds of taxes is only meant to serve as a general guide indicating the various factors which the taxing authority should keep in mind in its efforts while making tax reforms.

Economists have classified taxes from different angles thereby providing us a long list of different kinds of taxes. The various taxes may be classified under the following major heads.

1. Direct and Indirect Taxes.
2. Proportional, Progressive, Regressive and Degressive Taxes.
3. Specific and Ad valorem Taxes.
4. Single and Multiple Taxes.
5. Value-Added Tax (VAT).[1]

DIRECT AND INDIRECT TAXES

Taxes are generally classified as (*i*) direct taxes, and (*ii*) indirect taxes. Direct and indirect taxes have been defined by different economists differently.

According to John Stuart Mill, "a direct tax (which) is demanded from the very persons who it is intended or desired should pay it. Indirect taxes are those which are demanded from one person in the expectation and inten-

[1] It has been discussed in Chapter 11.

tion that he shall indemnify himself at the expense of another."[2]

According to this definition, a direct tax is really paid by the person on whom it is legally imposed, while an indirect tax is imposed on one person but is paid either partly or wholly by another person due to a consequential change in the terms of some contract or bargain between them. Thus, taxes are direct or indirect depending upon the fact whether or not they are actually paid by the people on whom their immediate burden of payment (impact) falls. According to this definition, personal income-tax or a tax levied on houses occupied by their owners would be called a direct tax since there would be no shifting of the tax burden. On the other hand, according to this criterion, a sales tax, a customs duty or an excise duty would be an indirect tax since its burden is shifted forward by the trader or manufacturer on the consumers or buyers. The tax burden of an excise may also be shifted backward on the factors of production or raw matrial producers depending upon the demand and supply elasticities of product or commodity.

According to Taylor, "the terms 'direct' and 'indirect' tax are finally distinguishable in meaning only in terms of shiftability. Direct taxes are not shifted, while indirect taxes are shifted. The decline in the use of these terms, can be accounted for by inability to make such broad generalisation with respect to many tax measures."[3]

According to A.R. Prest, "the distinction between direct and indirect taxes is more commonly drawn by reference to the *basis* of assessment rather than the *point* of assessment. Those taxes which are based on the receipt of income are termed direct, whereas those levied on expenditure are termed indirect. Income-tax, profits tax and capital gains taxes are, therefore, direct; customs duties, excise taxes and stamp duties (based on capital expenditure) are indirect."[4] Prest has distinguished between a direct tax and an indirect tax on the basis of the income and expenditure on which a tax is imposed. This classification is, however, fraught with two difficulties. Firstly, this classification has a very simple concept of the flow of funds in the economy. According to Prest, some items are of income nature and other items are of expenditure nature as though the two categories of items are separable. This view, however, is not correct since every item is both an income and an expenditure depending on the way we look at it. In the economy, one man's income is another man's expenditure. Consequently, a tax on some person's income may also be rightly regarded as a tax on some other man's expenditure. Secondly, this classification excludes those taxes which are based on the stock of capital.

[2] J.S. Mill, *Principles of Political Economy*, 1909, p. 823.
[3] Philip F. Taylor, *The Economics of Public Finance*, Third Edition, 1968, p. 307.
[4] A.R. Prest, *Public Finance*, Second Edition, 1963, p. 24.

According to Antonio De Viti De Marco, "direct taxes are the taxes on income from land, and the tax on buildings, the tax on intangibles or 'movable property', which falls on income from investments, as well as on that arising from business and professional activity; and, finally, the tax on total individual income. These taxes strike the citizen's income at the moment of its *production*. Indirect taxes are those which strike the private consumption of citizens and also transfers of property. They strike the income at the moment when the citizen spends it to acquire other goods."[5] However, according to the method of tax collection criterion which is employed by the tax administrative machinery, "those taxes are considered direct which are collected on the basis of lists containing the names of the tax-payers, and which recur at fixed intervals; those taxes are considered indirect which are collected on the occasion of certain definite acts, which do not come at fixed intervals and are not susceptible to a method of collection involving lists of names."[6]

In conclusion, it can be said that it is not easy to distinguish the direct taxes from the indirect taxes. A tax at one time is direct while at some other time it acquires the characteristic of an indirect tax and *vice versa*. It, however, follows from the above discussion that the classification of direct and indirect taxes based on the criterion of shifting of the incidence of tax is relatively scientific and thoughtworthy. Thus, a direct tax is that tax whose burden is borne by the person on whom it is levied. He cannot transfer the burden of the tax to some other person. In other words, in the case of a direct tax both the impact and incidence of tax fall on the same person. For example, income-tax is a direct tax as its burden falls on the person who pays it to the government. On the other hand, an indirect tax is that tax which is initially paid by one individual but the burden of which is ultimately borne by another individual. The person who pays the tax in the first instance transfers its burden on the shoulders of another person. In other words, in the case of an indirect tax, the impact and incidence of tax fall on different persons. For example, the import duty on motor cars is paid in the first instance by the importer of cars but ultimately he transfers the burden of this duty to the purchaser of car in the form of a higher price. The importer includes the import duty paid by him in the price of car which is charged from the customer. Similarly, the burden of payment of excise duty on cloth which is initially paid by textile mill is shifted to the consumer by including it in the price of cloth. Thus, all indirect taxes are borne by the buyers, although they are paid in the first instance by the traders.

Sometimes the terms 'impact' and 'incidence' are used to clarify the dis

[5] Antonio De Viti De Marco, *First Principles of Public Finance*, Reprinte 1950, p. 130.

[6] Antonio De Viti De Marco,. *Ibid.*

tinction between direct and indirect taxes. The direct tax is that tax whose impact (immediate burden) and the incidence (ultimate burden) falls on the same person while an indirect tax is that tax whose impact and incidence fall on different persons. The impact of the tax falls on the person who pays it to the government in the first instance. However, the incidence of the tax falls on the person who finally bears the burden of tax. It is not essential that a person on whom the impact of the tax falls should also bear the incidence of the tax.

Merits of Direct Taxes

Following are the main advantages of direct taxes.

1. ***Direct Taxes create Civic Consciousness:*** A direct tax like the income-tax pinches the people on whom it is imposed. Consequently the tax-payers immediately become conscious about their rights. They also see to it that the tax-income accruing to the government is not wasted on useless projects. Consequently, a direct tax creates civic consciousness.

2. ***Direct Taxes are Economical:*** Direct taxes are economical in the sense that the cost of collecting these taxes for the government is relatively low as these taxes are usually collected at source.

3. ***Direct Taxes are Equitable:*** Direct taxes can be thoughtfully chosen and their rate schedules can be determined in such a way as to secure the maximum possible closeness to the principle of the ability to pay and the least aggregate sacrifice. In these taxes, we can determine the degree of progression that we want. Consequently, it is easy to achieve an adequate social and economic justice through these taxes.

4. ***Direct Taxes reduce Inequalities of Income and Wealth:*** Governments frequently use direct taxes as a means for reducing the glaring income and wealth inequalities in the community. Through this measure several socio-economic evils can be mitigated.

5. ***Direct Taxes are Certain:*** Another advantage of direct taxes is that they are certain. The tax-payers know how much they have to pay and on what basis they are going to pay the tax to the government. Thus, the tax-payers can make adequate provision for the payment of tax in advance. The government can also estimate the amount of revenue from such taxes which it will receive from the public and accordingly it can prepare its development plans.

6. ***Direct Taxes are Elastic:*** Another advantage of direct taxes is that these taxes are elastic as the income from these taxes can be increased through appropriate increases in the tax rates in times of crises.

Direct taxes are advantageous and the above arguments are quite sound provided in practice a proper degree of progression of tax schedules can be chosen and enforced.

Direct taxes suffer from the following weaknesses.

1. ***Direct Taxes are Uncertain:*** The critics of direct taxes state that since a precise degree of needed progression cannot be estimated on account of the difficulties of measuring the ability to pay and the sujective nature of the marginal utility of income, the government would always end up with either too much or too little progression in direct taxation.

2. ***Direct Taxes are Inconvenient:*** The main drawback of direct taxes is that they cause considerable avoidable botheration and inconvenience to taxpayers. Sometimes the taxpayers are required to pay the entire tax amount in one lump sum instalment. Besides, the taxpayers have to maintain elaborate accounts for the satisfaction of the tax authorities. The taxpayers are also required to fill a large number of complicated forms etc. For instance, the Indian income-tax is highly inconvenient for the semi-literate and even literate income-tax assessees who have to seek the costly assistance of the tax experts to understand its implications.

3. ***Direct Taxes are Uneconomical:*** The cost of collecting direct taxes is sometimes very high, it is particularly so when the number of taxpayers is large and each taxpayer pays only a small amount of tax.

4. ***Direct Taxes can be Easily Evaded:*** There is always a possibility of tax evasion in the case of direct taxes. People do not show their correct incomes to the tax officials. In India, there is large scale evasion of payment of income-tax on the part of the businessmen whe derive a large part of their income earnings from unaccounted and undisclosed sources.

5. ***Direct Taxes are Unpopular:*** Direct taxes are directly imposed on individuals. People have to bear both the impact and incidence of these taxes. Thus, they experience their pinch directly. Consequently, direct taxes are not as popular as indirect taxes.

6. ***Direct Taxes violate the Principle of Equity:*** The burden of direct taxes falls almost exclusively on the richer sections of society while the poor sections are totally exempted from these taxes. This is not just and proper because the burden of state expenditure should be borne by all individuals in society according to their ability to pay.

Merits and Demerits of Indirect Taxes

Following are the main advantages of indirect taxes.

1. ***Indirect Taxes are Convenient:*** An important merit of indirect taxes is that they are less inconvenient and less burdensome than direct taxes. The taxpayers generally pay these taxes in small bits and mostly when they buy goods and services in the market. The amount of tax is included in the price of the commodity and the consumer pays the tax without experiencing its pinch. Sometimes the consumer is not even aware of the fact that he is paying the tax in the form of the higher price of the commodity.

Besides, the indirect taxes are paid by the taxpayers at a time when they have the means to pay these taxes. They are also not compulsory in the sense direct taxes are since their payment can be avoided by avoiding the purchase of commodity.

2. ***Indirect Taxes cannot be Evaded:*** No individual can evade the payment of indirect taxes because they are collected in the form of higher prices of goods sold to the buyers in the market. The indirect taxes are to be paid when the goods are purchased in the market. Consequently, there is no posssibility of the evasion of indirect taxes.

3. ***Indirect Taxes are Productive and Elastic:*** The indirect taxes can prove to be highly productive and elastic, particularly when they are imposed on essential goods and services like sugar, edible oils, cigarettes and salt whose demand is inelastic. By increasing the rate of tax, the government can secure an adequate tax income from these taxes.

4. ***Indirect Taxes lead to Social Welfare:*** Indirect taxes imposed on intoxicants like wine, opium, etc., serve a great social purpose by curtailing and limiting the consumption of such harmful commodities. Curtailment of consumption of harmful goods indirectly increases social welfare.

5. ***Indirect Taxes are Just:*** Indirect taxes are just and equitable. They are paid by all the individuals and only when they purchase goods and services.

6. ***Indirect Taxes help Production and Investment:*** Another advantage of indirect taxes is that they serve as a powerful tool in moulding the production and investment activities in the economy, *i.e.*, they can guide the economy in its resource allocation. A proper structuring of indirect taxes can enable the authorities to twist the demand and supply forces in such a way as to yield desirable results by encouraging the development of high priority industries and discouraging that of low priority ones.

Following are the important disadvantages of indirect taxes.

1. ***Indirect Taxes promote Economic Inequality:*** Indirect taxes are generally imposed on the consumption goods. The poor people have to pay as much by way of indirect taxes on commodities as the rich people. Obviously, this is unjust and inequitable. Indirect taxes are a type of regressive taxes which promote economic inequality in society by imposing heavier burden on poorer sections of society.

2. ***Indirect Taxes are Uneconomical:*** Indirect taxes involve high cost of collecting them. Generally, the traders change more than the actual amount of commodity tax levied by the authorities by raising the prices of goods and services at a rate higher than the rate of tax.

3. ***Indirect Taxes are Uncertain:*** The revenue accruing to the government from indirect taxes cannot be estimated accurately. As soon as a tax is imposed on a commodity, its price rises in the market and consequently its demand falls. It cannot be said with certainty as to what extent the demand of the

commodity will fall consequent upon the imposition of the tax. Consequently, an element of uncertainty is always involved in the case of indirect taxes.

4. ***Indirect Taxes do not create Civic Consciousness:*** As indirect taxes are paid only when the consumers buy the goods they pay the amount of tax only in terms of the prices of these goods. They, therefore, do not feel an extra burden of tax. Consequently, they are not conscious about them. The taxpayers generally become indifferent towards their responsibilities and fail to keep a watch on the financial irregularities committed by the authorities.

5. ***Indirect Taxes promote Inflation:*** Another weakness of indirect taxes is that they feed inflationary forces. Indirect taxes begin by adding to the sale prices of the taxed goods without touching the purchasing power in the first place as in the case of direct tax (direct taxes take away a part of the purchasing power of the taxpayer which has the effect of reducing demand and prices). Consequently, in the case of indirect taxes inflationary forces are fed through an unending spiral of higher prices, higher costs, higher wages and again higher prices.

Above are the advantages and disadvantages of direct and indirect taxes. Now the question arises as to which one of these two types of taxes is better? Some economists have tried to answer this question in the following manner.

Comparison between Direct and Indirect Taxes

According to Gladstone, direct and indirect taxes were like the 'two attractive sisters' between whom he was 'perfectly impartial without one being superior to the other. The main issue in the comparison of direct and indirect taxes, however, relates to the issue as to which one of these two taxes is less burdensome for the taxpayer. Mrs. Ursula K. Hicks and other economists have maintained the superiority of direct taxes over indirect taxes by showing that the taxpayers suffer a smaller amount of sacrifice in terms of satisfaction in the case of direct taxes than in indirect taxes. According to them, if a certain amount of money (revenue) is collected from the community through indirect taxes the burden will be greater than if the same amount of money (revenue) was collected by levying direct tax. Thus, on welfare criterion direct taxes are considered superior. This has been illustrated with the help of indifference curves technique in Fig. 10.1.

Figure 10.1 represents the case of a single consumer whose money income has been measured on the vertical axis while the quantity of commodity has been measured on the horizontal axis. Let us assume that the money income of the consumer taxpayer is *OM*. If he spends his entire income on the commodity, he may buy *ON* quantity of the commodity. Thus, *MN* is the price or budget-line. On this price-line he enjoys certain amount of satisfaction shown by IC_3 indifference curve and his equilibrium position is shown by point *A*. Suppose that an indirect tax is imposed on the commodity making it costlier by the full amount of the tax. Since as result of the higher price of the commodity the consumer can now buy only *OL* quantity of the commodity, the new price-line affter the indirect tax levy is *ML*.

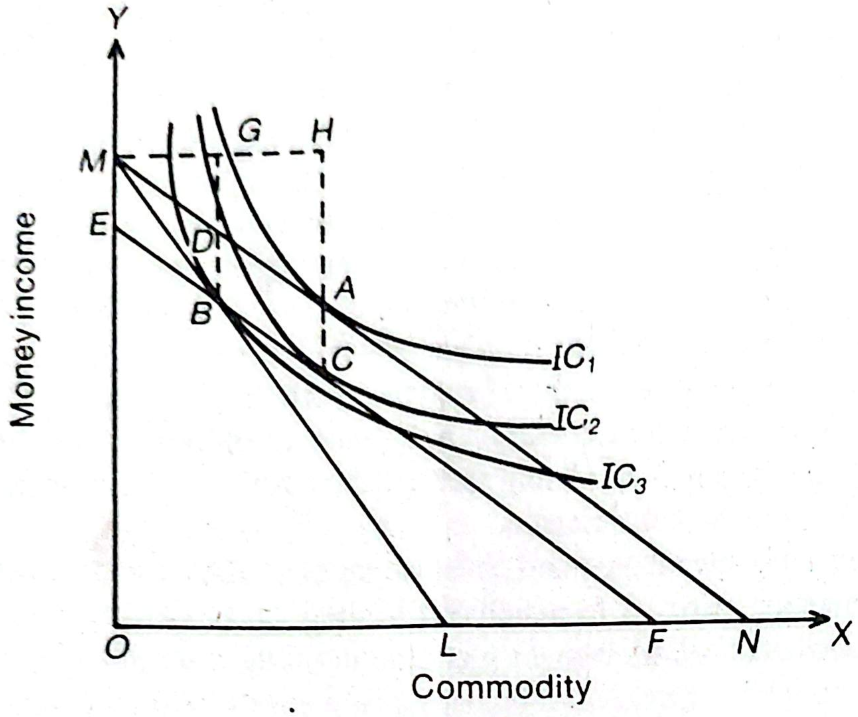

FIG. 10.1

Consequently, the consumer is forced to move on to a lower equilibrium position shown by point *B* which is situated on the lower indifference curve IC_1 in the diagram. The consumer can now buy only *MG* quantity instead of *MH* quantity of the commodity and he spends *GB* amount of money income to buy it. Of the total amount of money *EB* which is spent by the consumer on the purchase of commodity, *DB* amount goes to the government by way of the payment of excise duty which is an indirect tax[7].

Let us suppose that the taxed amount of money *DB* is taken away by the government by way of direct tax, *i.e.*, through personal income-tax. As a result of this, the personal income of the consumer is reduced by *ME* amount. Since the price of the commodity remains unaffected by the imposition of a direct tax, the new price-line *EF* will be parallel to the original price-line *MN*. In other words, the slopes of the old price-line *MN* and the new price-line *EF* will be identical. In the changed situation, the consumer's equilibrium point will be *C*, which lies on a higher indifference curve IC_2 compared with the lower indifference curve IC_1 on which he was forced to move as result of the imposition of indirect tax. This clearly shows that a direct tax (income-tax) of equal amount ($DB = AC$) is preferable to an

[7] We have assumed that the price of the commodity rises exactly by the full amount of the tax imposed by the government. Therefore, the difference between the original price-line *MN* and the new price-line *ML* is the amount of tax going to the government.

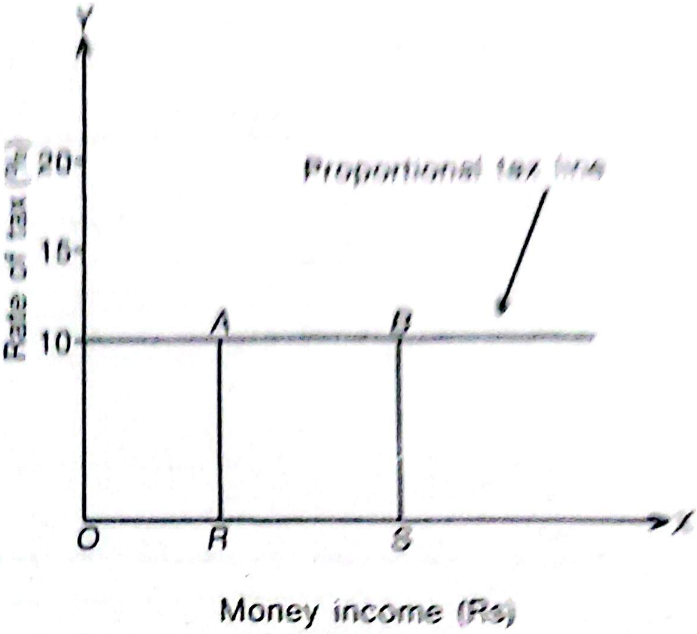

FIG. 10.2

Thus, a proportional tax has the following characteristics.

(*a*) It is fixed and its proportion does not change with the change in tax-payer's income and wealth.

(*b*) It is fixed in amount and it is never levied in varying percentages.

(*c*) The tax does not alter the proportion of difference of income after the payment of tax has been made. In other words, the relative status of the individual tax-payers with respect to income and/or wealth remains unchanged after the payment of a proportional tax.

Advantages and Disadvantages of Proportional Tax

Following are the main arguments advanced in favour of proportional taxation.

1. It is easy for every individual to evaluate the total amount of tax he has to pay. The tax payers can easily and quickly calculate the amount of tax they have to pay to the government.
2. The proportinal tax is simple and easy to understand. Even a person with an ordinary intelligence can understand its implications without any difficulty.
3. There is no change in the existing distribution of income and wealth in the society as a result of proportional tax because all the taxpayers pay the tax at a single uniform rate regardless of their incomes. It is neutral with respect to income and wealth distribution and consequently it involves no structural change in the socio-economic set-up of the country.

Following are the main arguments advanced by the critics against the proportional taxation.

1. In the case of proportional taxes, the burden of tax falls more heavily

indirect (commodity) tax from the consumers' welfare point of view.[8]

The above discussed Joseph-Hicks approach has been criticised by several economists. Milton Friedman has challenged this approach by pointing out that this treatment is related to a single taxpayer and it does not apply to the whole community of taxpayers. Consequently, the Joseph-Hicks approach ignores the expenditure side of the budget and the production possibilities in the economy.[9]

Complementarity between Direct and Indirect Taxes

It is not always the question of direct taxes versus indirect taxes which is important. In fact, either of these two taxes can be made use of depending on its suitability and efficiency in particular circumstances. Under certain situations, it is better to impose indirect taxes rather than direct taxes, while under certain other circumstances direct taxes would be a better device to use. For instance, beyond a certain stage direct taxes may not be suitable for raising the required tax revenue as these may meet with greater taxpayer resistance. In such situations, indirect taxes are obviously a better choice. However, in order to reduce the inequalities of income and wealth, direct taxation should be adopted because indirect taxes are not amenable to fine graduations. Thus, the two kinds of taxes are mutually complementary and not competitive. It is desirable to appraise and to tax all categories and all parts of national income as equally as possible and this can be best done by judiciously dividing the fiscal obligation of every individual between direct and indirect taxes.

The state must strike a proper balance between the direct and indirect taxes. The idea of keeping a balance between these two taxes was stressed by Gladstone who as the British Chancellor of the Exchequer observed that it was "not only allowable, but even an act of duty, to pay my addresses to them both".

PROPORTIONAL PROGRESSIVE, REGRESSIVE AND DEGRESSIVE TAXES

Direct taxes can also be classified on the basis of the degree of progressior or distribution of their burden on the taxpayers. According to this classi fication, taxes may be classified as proportional, progressive, regressive an

[8] Professor A.R. Prest in his book *Public Finance* (pp. 39-49) has shown that ind rect tax may have better allocative effects. This may, however, be the case onl if the resources are not optimally allocated. In such a situation, income-tax may n change the allocation but a commodity tax may do so and may bring about, if n the ideal, at least the near-ideal resource allocation in the economy.

[9] Milton Friedman, "Welfare Effects of an Income Tax and an Excise Tax", *T Journal of Political Economy*, February 1952, pp. 25-33.

126 – 132.

degressive. A tax is called progressive when, with increasing income the tax liability not only increases in absolute terms, but it also increases as a proportion of the income. If the tax liability increases in the same proportion as the increase in the taxpayer's income, it is termed as a proportional tax. If the tax liability as a proportion of income falls with the increase in tax-payer's income, it is termed as regressive tax. On the other hand, in the case of progressive tax, the absolute tax liability of the tax payer will increase. In the case of degressive taxation, there is a declining degree of progression as the tax base increases.[10] Now we shall discuss these taxes in detail.

Proportional Tax : If the tax is paid remains a constant propor of increasing income item

In the proportional tax system, all incomes are taxed at a single uniform rate and it does not matter if the taxpayer's income is high or low. For example, if the rate of income-tax is 10 per cent, all persons shall have to pay the income-tax at this rate as there is no change in the rate of tax with the increase or decrease in incomes. Proportional tax system is simple and one can understand it without any difficulty. It can be illustrated in Table 10.1.

TABLE 10.1

Tax Base income (in rupees)	*Rate of Income-tax (per cent)*	*Amount of Tax (in rupees)*	*Income after Tax (in rupees)*
100	10	10	90
1,000	10	100	900
10,000	10	1,000	9,000
1,00,000	10	10,000	90,000

Table 10.1 shows the incomes of four individual taxpayers and the amount of tax they have to pay. The rate of tax which all will be required to pay is 10 per cent of their income. Before the tax, the relative status of the four persons is such that the second person has income ten times higher than the income of the first person, the third person has an income which is ten times higher than the income of the second person, and the fourth person has ten times higher income than the income of the third person. After tax has been imposed and the tax amount has been collected by the government, the relative status of the persons remains unchanged. Thus, by definition a proportional tax rate schedule can be established at any level provided the rate remains constant at all income levels. It can also be shown diagrammatically as in Fig.10.2

[10] Richard A. Musgrave, *The Theory of Public Finance*, p. 104.

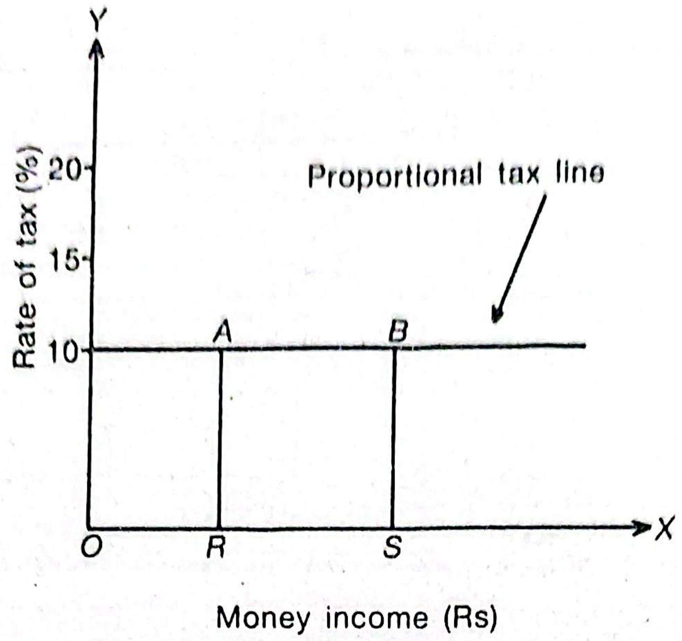

FIG. 10.2

Thus, a proportional tax has the following characteristics.

(*a*) It is fixed and its proportion does not change with the change in tax-payer's income and wealth.

(*b*) It is fixed in amount and it is never levied in varying percentages.

(*c*) The tax does not alter the proportion of difference of income after the payment of tax has been made. In other words, the relative status of the individual tax-payers with respect to income and/or wealth remains unchanged after the payment of a proportional tax.

Advantages and Disadvantages of Proportional Tax

Following are the main arguments advanced in favour of proportional taxation.

1. It is easy for every individual to evaluate the total amount of tax he has to pay. The tax payers can easily and quickly calculate the amount of tax they have to pay to the government.

2. The proportinal tax is simple and easy to understand. Even a person with an ordinary intelligence can understand its implications without any difficulty.

3. There is no change in the existing distribution of income and wealth in the society as a result of proportional tax because all the taxpayers pay the tax at a single uniform rate regardless of their incomes. It is neutral with respect to income and wealth distribution and consequently it involves no structural change in the socio-economic set-up of the country.

Following are the main arguments advanced by the critics against the proportional taxation.

1. In the case of proportional taxes, the burden of tax falls more heavily

on the poorer sections of society. The reason for this is that as the income of an individual increases, the marginal utility of money for him diminishes. In other words, the marginal utility of money for the rich is lower than the marginal utility of money for the poor. If the rich and the poor are taxed at the same rate, obviously the poorer sections of society will be making greater sacrifice than the richer section. Consequently, the proportional tax system does not satisfy the important canon of equity and justice in taxation.

2. This system of taxation does not reduce the inequalities of income and wealth, rather it enhances these inequalities and increases the gap between haves and have-nots.
3. It does not go parallel to the principle of taxable capacity.
4. It contributes less to the public exchequer.

Progressive Tax : the tax paid as percentage of Y increases as Y ↑.

A progressive tax is the tax which varies with the change in the income of the individual and the rate of tax becomes gradually higher for the increasing incomes and lower for the lower incomes. It does not provide for a fixed and uniform percentage for all the income levels. If the income of taxpayer increases, the rate of tax also increases and if the income decreases, the rate of tax also decreases. According to Taylor, "as taxable incomes rise under progressive taxation, the effective rate of tax rises for marginal increments of income subject to higher tax rates. This means that the rise in tax liability is more than proportional to the rise in income. Conversely,as personal incomes fall, the effective rates of tax fall and the decrease in taxes is more than proportional to the decrease in income." A schedule of progressive tax rates is one in which the rate of tax increases as the base (income) increases. Recognising that the amount of tax paid is the result of multiplying the base by the rate in a progressive tax, the multiplier increases as the multiplicand increases. Accordingly, the amount of tax paid will increase at higher rate than the increase in the tax-base. This case has been illustrated in Table 10.2.

TABLE 10.2

Taxable Income Group (in rupees)	*Exact taxable Income of Individual (in cupees)*	*Rate of Income tax (Per cent)*	*Amount of Tax after Tax*	*Income of Individual (in rupees)*
0–1,000	1,000	10	100	900
1,001–2,000	2,000	15	300	1,700
2,001–3,000	3,000	20	600	2,400
3,001–4,000	4,000	25	1,000	3,000

It can also be represented diagrammatically as shown in Fig.10.3.

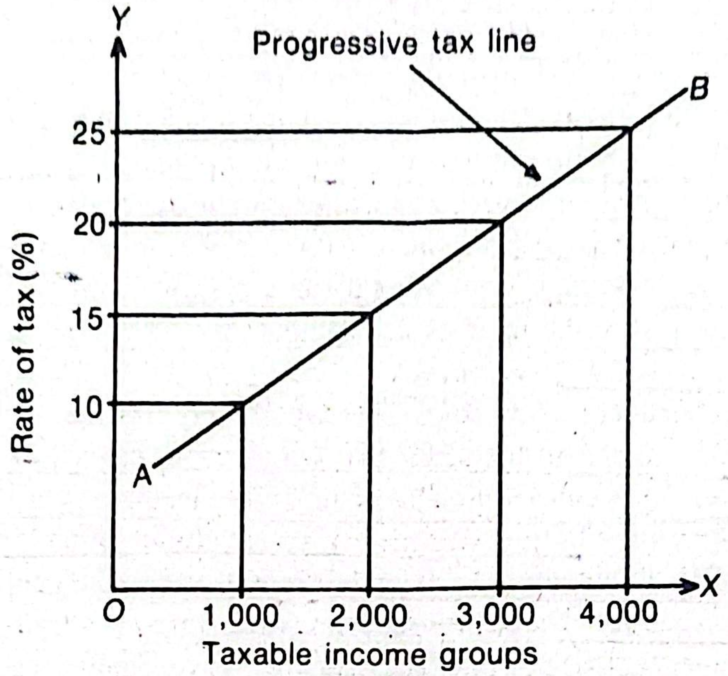

FIG. 10.3

From the above analysis it is evident that an exemption limit is fixed under a progressive tax. Consequently, all those persons whose income is less than the prescribed limit of exemption are granted exemption from the payment of tax. It is also evident that the rate of tax goes on increasing with the increase in income. The higher income group taxpayers are taxed at progressively hgiher rates. For purpose of taxation, individual incomes are divided into different tax slabs. For each income slab, there is a different rate of tax and this rate of tax goes on increasing with the increase in income. It is for this reason that a progressive tax is also sometimes referred to as a "*graduated tax.*"

Advantages and Disadvantages of Progressive Tax

Progressive taxation has become popular in all the nations of the world today. The reasons for its universal popularity are the benefits which accrue to the community from it. The following are the important advantages of progressive taxation:

1. ***Progressive Tax is based on 'Ability to Pay' Principle:*** A very strong case for progressive tax rates exists in terms of the ability to pay and the corresponding sacrifice which taxation involves. This argument is based on the assumption that marginal utility of income is subject to reduction as income rises. Since the ability to pay increases in direct proportion to the increase in income, the rate of tax goes on increasing with every increase in the size of income.

2. ***Progressive Tax promotes Equality of Income and Wealth:*** The distribution of income and wealth in society can be made more equitable under progressive taxation because under it the richer persons are required to pay the tax at a higher rate than the poorer persons.

3. ***Progressive Tax is Productive:*** The government can increase its income substantially through a progressive tax. It can bring about a sizeable increase in its income through increases in tax rates during a period of financial crisis.

4. ***Progressive Tax is Economical:*** Progressive tax is economical in the sense that the government can bring about a sizeable increase in its income through increases in the rates of tax without any substantial increase in the cost of tax collection.

5. ***Progressive Tax is Elastic:*** This type of tax has the characteristic of elasticity. It is elastic in the sense that with minor changes in the tax rates substantial changes can be brought about in the income of the government.

6. *Social Justice:* Progressive tax can be advocated on the basis of social justice also which manifests itself in the form of taxing the people according to their ability to pay. Since progressive tax rate schedules try to bring about equal marginal sacrifice on the part of the tax-payers and since through that approach the whole tax system moves towards the least aggregate sacrifice, such a tax system is just as between individual tax-payers and for the society as a whole also.

Following are the main disadvantages of progressive taxation.

1. ***Non-measurability of Utility:*** The case for progressive tax has been disputed on the ground of non-measurability of utility. Marginal utility of net incomes of different persons cannot be measured in such a way as to permit precise comparisons between individuals. Consequently, it is impossible to discover any faultless objective standard of progression or gradation of tax rates rates on the basis of subjective utility.[11]

2. ***Progressive Tax ignores the Benefit Received Principle:*** The benefit-received theory of taxation does not favour a progressive tax rate especially when we consider the welfare activities of the government. According to this approach, the government should tax the poor people more on account of the benefits received from its welfare activities. Even if one ignores the welfare functions of the state, it becomes a point of debate whether the rich or the poor derives the maximum benefit from the state activities.

3. ***Progressive Tax reduces Capital Formation:*** The degree of progressive taxation has an important bearing on the process of saving and capital formation in an economy. The critics of progressive taxation state that it is only the rich who can save and, therefore, if they are taxed more heavily than the poor, the saving potential will either be lost completely or reduced substantially. Consequently, the process of capital formation is adversely

[11] See Walter J. Blum and Harry Kalven, Jr., *The Uneasy Case for Progressive Taxation,* 1953, pp. 43-45.

affected as a result of progressive taxation.

4. *Scope for Tax Evasion:* A progressive tax offers great scope for tax evasion and tax avoidance. The taxpayers invariably try to evade the payment of the tax by presenting false statements of accounts before the taxing authorities and finding legal loopholes in the tax provisions.

Inspite of the above defects, the system of progressive taxation is now widely recognised as desirable. The main reason for this is that under progressive taxation it becomes possible to eliminate or reduce the glaring economic inequalities in society. This was the reason why Alfred Marshall and Arthur Cecil Pigou extended their powerful support to progressive taxation. John Maynard Keynes also laid special emphasis on progressive taxation as a means for increasing the volume of employment in society.

Progressive taxation cannot, however, be applied to all taxes. It is essential to select proper taxes, rates and exemptions so that arbitrariness which can always be levelled against any progressive tax or rate, is reduced to the minimum. The principle of progressive taxation has only limited applicability in an underdeveloped country on account of the limited scope of direct taxation. In an underdeveloped country all the finance required for development cannot be raised only through direct taxation on income and wealth and main reliance has to be placed on indirect taxation.

Regressive Tax

In regressive taxation, the higher the income of a taxpayer, the smaller is the proportion of his income which he contributes to the government in terms of tax. Thus, a regressive tax is just the opposite of the progressive tax. Under this system of taxation, the poorer sections of society are taxed at higher rates than the richer sections. As the income of an individual increases, the rate of tax diminishes. A schedule of regressive tax rates is one in which the rate of tax decreases as the tax base (income) increases, the multiplier decreasing with the multiplicand increasing recognizing that the tax payable is the result of multiplying the tax rate with the tax base. The system of regressive taxation has been shown in Table 10.3.

TABLE 10.3

Tax Base (in rupees)	*Rate of Tax (per cent)*	*Amount of Tax (in rupees)*	*Income After Tax (in rupees)*
1,000	15	150	850
2,000	10	200	1,800
3,000	7	210	2,790
4,000	6	240	3,760

Regressive tax system can also be represented diagrammatically as shown in Fig.10.4 where the tax line is a falling curve indicating the fact that as income increases the rate of tax falls.

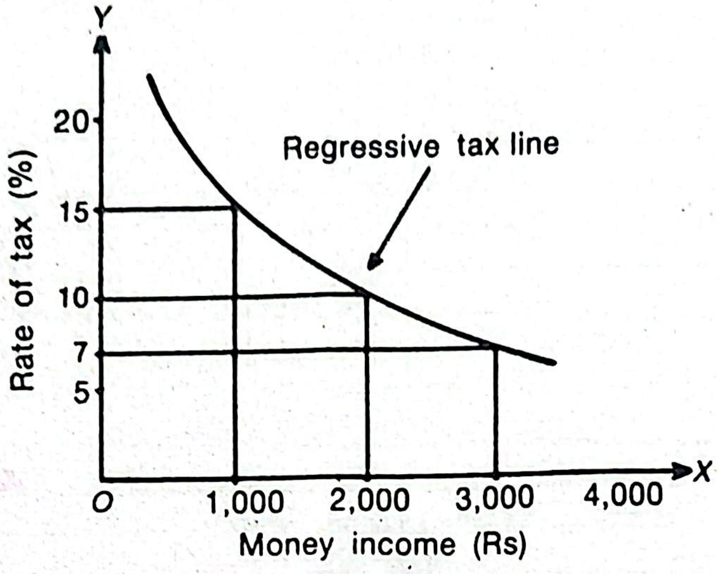

FIG. 10.4

Thus, in a regressive system of taxation, the tax rate falls as the tax base (income) increases. The absolute amount of tax payable may, however, increase but at a decreasing rate and it may also decrease. Since this system of taxation is not just or equitable, it has been abandoned everywhere. The salt tax, which was imposed by the British Government prior to 1947 in India and which was vehemently opposed by Mahatma Gandhi culminating in the historic Dandi March was an example of a regressive tax because its burden fell more heavily on the poorer sections of society.

Degressive Tax

This tax can be called a *mild progressive tax*. In a degressive tax, the rate of progression does not increase in the same proportion as the income. The rate of tax increases up to a certain limit beyond which a uniform rate is charged. Thus, the degressive tax is a blend of progressive and proportional taxation. The result of this tax is that the higher income groups make less sacrifice than the lower income groups.

From the above analysis, we can conclude that a progressive system of taxation is the best system of taxation. Most advanced countries of the world, now-a-days, follow this system of taxation. India is also gradually adopting the progressive system of taxation.

SPECIFIC AND AD VALOREM TAXES

The commodity taxes are classified as (*i*) Specific Tax, and (*ii*) Ad Valorem Tax.

Specific Tax

When a tax is imposed on a commodity according to its weight, size or measurement, it is called a specific tax. For instance, when the excise duty is imposed on sugar on the basis of its weight or the cloth is taxed according to its length or a tax on a picture is levied on the basis of its size, it is known as a specific tax.

The main advantage of specific tax is that it is easy to levy and more convenient to collect because it is collected either according to the weight of the commodity or according to the size of the unit of the commodity.

The main disadvantage of this tax is that it imposes a greater burden on the poor people than on the rich people. The reason is that the marginal utility of money for the rich people is lower than that for the poor people.

Ad Volorem Tax

When the tax is imposed on a commodity according to its value, it is termed as ad valorem tax. Whatever be the weight or size of the unit of the commodity, the tax is charged according to its value. Several imported commodities are taxed not according to their weight or size, but according to their value.

The main advantage of an ad valorem tax is that it imposes a greater burden on the richer sections. Hence, from this point of view the ad valorem tax is more equitable.

The main problem with an ad valorem tax is that it is difficult to know the real value of the commodity at the time of imposing the tax. Generally, the traders understate the value of the commodities in their invoices in order to escape the burden of the ad valorem tax.

In fact, it is difficult to choose between a specific and an ad valorem tax. A good tax system should have both, specific as well as ad valorem tax, according to the nature of the commodities.

SINGLE AND MULTIPLE TAXES

Taxes can also be classified as (*i*) Single Tax, and (*ii*) Multiple Tax.

Single Tax

A single tax occurs in a system in which the taxes are levied only on one subject. There is only one tax which constitutes the source of public revenue. The physiocrats[12] in their prime of glory in the eighteenth century

[12] Physiocracy is the system of economic thought which emerged in the eighteenth century after the decline of the mercantilists. The physiocrats believed in the *laissez faire laissez-passer* philosophy which advocated free enterprise market economy with no or least government interference.

had strongly supported the single tax system in France. According to them, the aim of the government is to catch up those who create surplus, and consequently to tax them. They held that tax is always paid out of surplus. The leading physiocrats Francois Quesney and Anne Robert Jacques Tourgot supported the single tax system and proposed that taxes should be levied on economic rent of land as it was a surplus out of which taxes could be paid.

Consequently, they put the entire tax burden on rent which in their view was purely a surplus accruing to the landlords. In the nineteenth century, sociologist Henry George also supported the idea of taxing the land partly on economic grounds and partly on ethical grounds. According to Henry George, a tax on land did not check industy. But this idea was criticised by the other sociologists who pointed out that the rich people, in order to save themselves from the burden of tax without land, would be taxless whereas poor people with land would be forced to pay tax, and if it happens it is not justified.

A single tax on income can be devised with advantage. It can yield adequate revenue and avoid unfairness in the distribution of the burden of taxation by means of graduation, differentiation and other devices. There are, however, three serious objections to such a single tax. Firstly, it would be difficult and expensive to collect, particularly in relation to small incomes. Secondly, it would secure no special contribution from the inheritors of wealth. Thirdly, it would check saving more than other taxes would do.

In the case of tax on land rent following are the main disadvantages of a single tax system.

1. It would not produce adequate revenue.
2. It would mean a very unsatisfactory distribution of the burden of taxation. A millionaire owing no land would completely escape the burden of tax while a poor person who invested all his savings in the purchase of land would pay a proportionately very high tax.

Multiple Tax

A single tax system presented many difficulties. It proved inefficient in solving the real purpose behind a good tax system. Consequently, economists now widely acclaim the multiple tax system.

A multiple tax refers to the tax system in which taxes are levied on various items. It is absolutely against the single tax system. It can be easily seen why this must be so. A modern economy is not one or single objective economy. It tries to forge ahead simultaneously along the paths of growth, equitable distribution of income and wealth, economic stabilisation, etc. Since no single tax can be expected to help the economy on all fronts, choice for a multiple tax system becomes inevitable. Different taxes contribute to the attainment of different objectives. Thus, some taxes would help in the more equitable redistribution of income and wealth while some other taxes would help the economy in the direction of regional balanced growth. Some other taxes may still be required to provide adequate revenue for the government treasury.

Advantages of Multiple Tax

1. It is efficient in checking the tendencies of frequent tax evasion.
2. It can be made indiscriminatory and the inequality of income and wealth can be reduced.
3. One kind of taxation can remove the weaknesses of the other kind of taxation.
4. Multiple tax system increases the income of the government.
5. Multiple tax system is more flexible than the single tax system.

Thus, a multiple tax system is usually always preferred over a single tax system. However, notwithstanding the superiority of the multiple tax system, too great a multiplicity of taxes is undesirable and should be avoided. A large number of taxes, howsoever small, would involve a high cost of collection. It is, therefore, best to rely on a few substantial taxes for achieving the major portion of the tax revenue. Income and inheritance taxes are best to tax the rich while indirect taxes on a few essential commodities of wide consumption with inelastic demand, preferably on those commodities which are not essential for peoples' health and efficiency, should be used for taxing the poor.

SUGGESTED READINGS

John C. Winfrey, *Public Finance,* 1973.
Phillip E. Taylor, *The Economics of Public Finance,* Third Edition, 1963.
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Hugh Dalton, *Principles of Public Finance,* Third Edition, Reprinted 1949.
A. R. Prest, *Public Finance,* Second Edition, 1963.
Walter J. Blum and Harry Kalven Jr., *The Uneasy Case for Progressive Taxation,* 1953.

QUESTIONS

1. Discuss the relative advantages and disadvantages of the direct and indirect taxes.
2. Distinguish between direct and indirect taxes. Is there any theoretical argument about the indirect taxes?
3. Do you agree with the views that "direct and indirect taxes divide between them the tax-payer's fiscal obligations, which is a single aggregate. And they are complementary?" Discuss.
4. "Indirect taxes are not merely complementary to direct taxes but also reduce the frictional forces which operate to the ascertainment of incomes and collection of direct taxes." Discuss.